

end of the pattern and not an up or down breakout. Therefore, the layout of this chapter is different from most other chapters in this book.

The Results Snapshot shows that the performance rank of the Gartley in bear markets is the best out of the five types of bearish Fibonacci-based patterns studied. The performance rank measures the average decline from the high at point D in the pattern (the end of the pattern) to the ultimate low but only for those patterns reaching and turning down at D.

Failure rates in bull markets are substantially higher than they are in bear markets. That makes sense when you consider the bullish market trend is fighting against the stock going down compared to giving the downtrend a swift kick in the pants in a bear market.

If price makes it up to the calculated point D, there's an 87% to 89% chance price will turn lower. That's near the top-of-the-food-chain, so it's good. I'll discuss more numbers in the Statistics section. Until then, let's take a tour of the pattern.

Tour

[Figure 37.1](#) shows a bearish Gartley at turns XABCD. This Gartley appears in a longer-term downtrend that began in May 2018 from a high of just over \$80. The pattern looks like a W from X to D, but it looks nicer on a more compact scale (smaller-looking up-and-down wobbles). The pattern starts at peak X and ends at D, forming an Eve & Adam double bottom at AC that fails to see price rise much above peak B. The double bottom is not part of the Gartley, just an observation about this example.

When the stock reaches the predicted price of 58.83 at D (which peaks at 59.32), the stock drops. It heads lower, dropping 25% to the ultimate low at E. The ultimate low is the lowest low after which price climbs more than 20% or closes above the top of the chart pattern (X in this case).